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SABLE HARBOR ADVISORY — COMMERCIAL CONTRACTING AND PRICING STANDARD

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State: LOCKED DIRECTION; price bands remain operating policy subject to market calibration

Owner: President, Sable Harbor Advisory with Finance and Legal

Related: SH-ADV-002; SH-ADV-005; SH-ADV-006

1. Commercial model

Advisory sells consequential outcomes, decision-grade judgment, implemented capability and durable transfer. It does not sell hours as the primary unit of value.

Internal time and cost records remain necessary for capacity, economics, profitability, professional liability and accounting. They are not the external product definition.

2. Matter classes

Every contract is assigned one primary commercial class.

A. Measurable Value Matter

A financially measurable result can be baselined and attributed with enough rigor to support variable economics.

B. Capability Matter

The contracted outcome is a functioning capability state validated through acceptance tests rather than direct financial value.

C. Decision Matter

The client is buying independent judgment, investigation, scenario evaluation or decision support where ex-post financial attribution would distort professional independence.

D. Managed Continuity Matter

The client purchases an ongoing operating/service obligation, monitoring, managed analytics, or continuing professional capability.

Hybrid matters are allowed, but each component must be priced and governed explicitly.

3. Minimum commercial threshold

The normal minimum professional matter fee is **\$150,000**, excluding Atlas license, travel, third-party costs, taxes and pass-through expenditures.

Exceptions require a documented strategic, developmental, public-interest, design-partner, or relationship rationale. Small fees are not used to disguise materially larger effort.

4. Measurable Value Matter pricing

The target professional fee is anchored to **verified addressable value**, not total enterprise value or the most optimistic theoretical upside.

Working target bands

Verified addressable value	Target total fee
Under \$5M	10–15%
\$5M–\$25M	7–12%
\$25M–\$100M	4–8%
\$100M–\$500M	2–4%
Over \$500M	0.5–2.0%

These are starting disciplines. Complexity, attribution, time-to-value, risk, client dependency, capital intensity, market scarcity and implementation burden can move the quote.

5. 60/40 structure

The working default for a Measurable Value Matter is:

- **60% committed professional fee**; and
- **40% variable outcome fee**.

The committed portion pays for Sable Harbor accepting the problem, reserving scarce capacity, assuming professional responsibility, operating the Atlas matter environment, and performing the work. The variable portion aligns economics to measured value without making the firm's entire fee hostage to factors outside its control.

The split may move between **40/60 and 80/20** where attribution or client dependency requires. A 100% contingent arrangement is exceptional and requires reserved approval.

6. Variable payout curve

The default curve is linear between threshold and target with capped upside:

- below 70% of agreed target outcome: 0% of variable fee;
- at 70%: 25% of variable fee;
- at 85%: 60%;
- at 100%: 100%;
- at 120% or above: up to 125% of the originally contracted variable fee where the contract permits.

No upside is earned from value outside the agreed measurement perimeter merely because the client's enterprise also improved.

7. Capability Matter pricing

Capability Matters are fixed/milestone priced against objective acceptance states. A typical structure is:

- 20% mobilization and design acceptance;
- 30% operating-model/workflow build;
- 25% technical/Atlas implementation and test;
- 15% client operation under supervised conditions;
- 10% final transfer certificate and independent acceptance.

A material portion should remain at risk until the client can operate the transferred capability.

8. Decision Matter pricing

Decision Matters are fixed price because charging only when the client receives a favorable answer would compromise professional independence.

Price is based on consequence, scarcity, urgency, data complexity, senior judgment required, adversarial exposure, and required review depth.

Indicative tiers:

- bounded executive decision: \$150K–\$500K;
- enterprise/transaction/major operating decision: \$500K–\$2M;
- exceptional strategic, investigative or high-consequence decision: \$2M+.

9. Managed Continuity pricing

Managed Continuity combines:

- annual platform/license charge;
- defined professional capacity or service obligation;
- service-level commitments;
- optional outcome/performance component where objectively measurable.

It is not disguised staff augmentation. Capacity is sold as an institutional service, not named hourly bodies.

10. Atlas Meridian commercial separation

Advisory fees and Atlas product economics are separately visible in the contract even when bundled commercially.

A client should be able to identify:

- professional matter fee;
- variable outcome fee;
- Atlas subscription/license;
- implementation/configuration charges;
- third-party model/tool usage passed through or embedded;
- managed support;
- travel/expenses;
- taxes and other pass-through costs.

This prevents professional economics from becoming dependent on hidden software markup and allows the client to retain Atlas after Advisory exits.

11. Expense policy

Travel and extraordinary third-party expenses are agreed in advance where practical. Ordinary internal compute and routine tooling are part of the firm's cost of delivery unless the contract identifies a separately metered product/service component.

The firm does not create profit by opaque expense loading.

12. Procurement response

Where client procurement requires hourly rate cards, Advisory may provide compliance rates for change orders, statutory disclosure or out-of-scope support. The commercial proposal still states that the primary engagement is fixed/outcome/capability priced.

If procurement insists on time-and-materials only, the President or delegated commercial authority determines whether to accept the distortion or decline.

13. Change control

Scope changes are priced when they materially alter:

- problem definition;
- authority;
- data perimeter;
- outcome metric;
- implementation surface;
- transfer obligation;
- timeline;
- client dependency;
- regulatory/safety exposure.

Minor discoveries inside the accepted problem are not automatically change-order opportunities. Advisory is paid to solve the problem, not monetize every surprise.

14. Payment terms

Default committed fees are invoiced by agreed milestone or monthly fixed schedule. Variable fees are invoiced only after Value Office certification and contractual dispute procedures.

The firm may require mobilization deposits for concentrated capacity, high-risk jurisdictions, new counterparties, or unusually large third-party commitments.

15. Outcome disputes

Contracts specify:

- agreed data sources;
- baseline lock date;
- restatement rules;
- attribution exclusions;
- client obligations;
- measurement window;
- Value Office calculation;
- executive escalation;
- independent expert determination or arbitration mechanism where appropriate.

Commercial teams may not resolve disputes by altering the professional conclusion.

16. Caps and risk sharing

Outcome fees are capped contractually. Sable Harbor does not accept uncapped economic exposure merely because upside participation exists.

Professional liability, indemnity, warranty, consequential-damage and cyber/data terms must be consistent with enterprise risk policy and insurance. Sales cannot trade unlimited liability for revenue without reserved authority.

17. Discounts

Discounts are stated as commercial decisions, not hidden through inflated list price. Accepted reasons include multi-matter commitment, strategic market entry, design partnership, client-provided capability reducing effort, or portfolio economics.

A discount cannot be conditioned on suppressing review, narrowing evidence, predetermined findings, or compromising transfer quality.

18. Profitability discipline

Finance tracks matter economics using actual internal cost, compute, travel, Atlas consumption, review effort, claims reserve, and collection outcome. A high-value client outcome is not necessarily a profitable matter if delivery was uncontrolled.

The firm studies contribution margin, but professional quality can require spending beyond initial estimates without billing-by-the-hour pressure.

19. Commercial standard

The proposal should read as though Sable Harbor knows exactly what it is accountable for. The client should know the problem, success measure, committed price, variable mechanics, Atlas/product charges, dependencies, transfer obligation, and exit path before substantive work begins.